

Check Point Software

GTM Disruption Persists as Unchanged FY26 Outlook Implies a Tougher Back-End-Loaded Setup

Broadly in-line 2Q, but an unchanged FY outlook now implies a steeper 4Q step-up. CHKP saw soft 2Q results mostly driven by internal GTM disruption, as elevated memory costs continue to pressure margins. As noted in our recent [downgrade note](#), our channel work flagged firewall share loss to larger platform vendors, ongoing SASE gaps, and turnover across pre-sales and the field, and these issues remain concerns near-term. Guidance for 3Q was softer than expected as CHKP noted that some large hardware related deals have already been pushed out into 4Q, creating a headwind for both product and support revenue in 3Q. Outside of the expected Product revenue softness, *this quarter represented the first time in over 10 years that Software Update and Maintenance revenue declined by more than 1% y/y, including during periods when Product revenue declined by over 12% y/y.* Management commentary indicated that we should expect another quarter of softness next quarter before a recovery in 4Q. Hardware-related professional services weakness and lack of overlapping refresh-related service/maintenance contracts may explain some of the softness, but some investors may be concerned that it could also signal a deteriorating installed base. The 4Q outlook implied by guidance and commentary points to a return to positive Product growth, and management pointed to a stronger 4Q pipeline vs the same period last year supporting confidence in a 4Q re-acceleration. To offset ongoing elevated memory costs, CHKP plans to announce another pricing increase in 3Q which could also support better growth. We see potential for upside to the FY outlook should execution improve, as the guidance assumes relatively low win rates (similar to 2Q) and does not account for a benefit from pricing increases and AI firewall traction. Strong 4Q results could set CHKP up well on a path for FY27 re-acceleration, but we think investors will need more evidence of GTM stabilization and better execution before underwriting that scenario. Valuation is low relative to peers but we remain Neutral rated due to near-term execution risk and softening competitive position.

What We Liked

- **Emerging products continue to drive subscription growth.** Email Security, CTEM, and AI Security collectively exceeded 40% ARR growth y/y, with calculated billings for these products up 35% y/y. Management noted CTEM, built on three integrated acquisitions, continues to grow near 100%, and indicated that emerging technology led by Email Security and CTEM is accounting for a growing share of the business. The company indicated that AI Security, while still small, is gaining traction, and management expects the momentum to continue into 2H alongside CTEM and email. Management reiterated that emerging products remain the primary driver of revenue growth, and we see the continued mix shift toward these products as supportive of subscription growth durability. *SASE notably fell out of the emerging products category this Q, as ARR growth decelerated to sub 40% levels.*
- **Memory a cost headwind but levers remain to maintain durable margins**

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 7 for analyst certification and important disclosures.

Neutral

CHKP, CHKP US
Price (29 Jul 26):\$139.67
Price Target (Dec-27):\$135.00



Software - Large Cap / Mid & Small Cap

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Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2025A	2026E	2027E
Q1	2.21	2.50A	2.76
Q2	2.37	2.55A	2.78
Q3	3.94	2.52	2.87
Q4	3.39	3.06	3.29
FY	11.90	10.63	11.71

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	38	50	62	48	48
Growth	54	55	52	61	75
Momentum	82	57	30	70	80
Quality	11	20	50	35	22
Low Vol	10	8	4	3	4
ESGQ	21	16	12	30	81

The authors wish to thank Rachit Agrawal, of the J.P. Morgan Global Research Center, for contributions to this report.

Price Performance



	YTD	1m	3m	12m
Abs	-24.7%	8.5%	-0.2%	-36.0%
Rel	-31.6%	10.2%	-2.7%	-50.9%

Company Data

Shares O/S (mn)	104
52-week range (\$)	210.66-112.23
Market cap (\$ mn)	14,455.84
Exchange rate	1.00
Free float (%)	75.4%
3M ADV (mn)	1.62
3M ADV (\$ mn)	205.9
Volatility (90 Day)	54
Index	S&P 500
BBG ANR (Buy Hold Sell)	13 24 0

Key Metrics (FYE Dec)

\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	2,725	2,819	2,991	3,223
Adj. EBIT	1,114	1,107	1,186	1,291
Adj. EBITDA	1,139	1,134	1,214	1,318
Adj. net income	1,307	1,092	1,147	1,235
Adj. EPS	11.90	10.63	11.71	13.28
BBG EPS	11.28	10.41	11.39	12.46
Cashflow from operations	1,234	1,242	1,333	1,439
FCFF	1,208	1,213	1,306	1,410
Margins and Growth				
Revenue Growth Y/Y (%)	6.3%	3.4%	6.1%	7.8%
EBIT margin	40.9%	39.3%	39.7%	40.0%
EBIT Growth Y/Y (%)	1.5%	(0.7%)	7.2%	8.8%
EBITDA margin	41.8%	40.2%	40.6%	40.9%
EBITDA Growth Y/Y (%)	1.5%	(0.4%)	7.1%	8.6%
Net margin	48.0%	38.7%	38.4%	38.3%
Adj. EPS growth	30.1%	(10.7%)	10.1%	13.4%
Ratios				
Adj. tax rate	6.4%	14.2%	15.5%	15.5%
Interest cover	-	-	-	-
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	46.1%	39.5%	44.7%	50.2%
Valuation				
FCFF yield	7.9%	8.5%	9.5%	10.9%
Dividend yield	-	-	-	-
EV/Revenue	3.7	3.6	3.4	3.2
EV/EBITDA	8.9	9.1	8.5	7.7
Adj. P/E	11.7	13.1	11.9	10.5

Summary Investment Thesis and Valuation

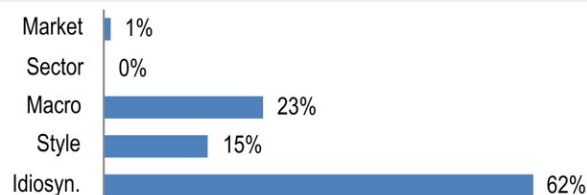
Investment Thesis

We think that near-term execution risk and weakening competitive position put the stock at risk. Our thesis is based on the recent partner checks which points to: 1) firewall share loss to larger platform vendors, driven by more favorable discounting and stronger platform positioning 2) CHKP screening below peers in SASE, citing gaps in technology, integration, and platform breadth; and 3) sales and technical turnover across pre-sales, solution architects, and the field, a sign that recent GTM disruption will likely linger longer than expected.

Valuation

Our Dec 2027 price target of \$135 is derived using a 7x CY27E FCF multiple (CY27 estimate of \$1,306.5mm), which represents a meaningful discount to mid-single digit growth software peers. We think the discount is warranted given the near-term execution risk and weakening competitive position.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.18	0.26
Sect: Technology	0.23	0.05
Ind: Software & Serv	0.48	0.35
Macro:		
US 10yr yield	0.25	0.31
Credit Spread	-0.36	-0.31
Crude Oil	0.35	0.25
Quant Styles:		
Size	-0.38	-0.41
Momentum	-0.42	-0.37
DivYld	0.33	0.28

near-term. 2Q product gross margin declined 464bps y/y, due in part to ongoing pressure from elevated memory cost. Adjusted free cash flow of \$161mm was in-line with the company's projection, with the y/y decline largely driven by a lower currency hedging benefit (\$14mm this quarter vs. \$50mm in 2Q25). 2Q included a \$28mm benefit from the ratified Israeli R&D grant program, which the company expects to persist going forward. To offset the elevated memory cost, CHKP plans to potentially implement a pricing increase in 3Q, which is not yet embedded in the outlook. CHKP repurchased 2.5mm shares for \$325mm and announced a \$2bn expansion of the buyback authorization. We think the R&D grant benefit, disciplined operating expense, and the planned pricing action support a durable margin profile even as memory costs weigh on gross margin into 2H. Management did not comment on the margin outlook for FY27 when elevated sales hiring could become an operating margin headwind.

What We Are Watching

- **Unchanged FY outlook = greater 4Q execution risk.** Guidance for revenue in 3Q of \$655-685mm and subscription revenue of \$332-343mm was below consensus expectations. Product revenue declined -14% y/y in 2Q, and the company expects another quarter of y/y decline in 3Q before product revenue returns to positive growth in 4Q. Management noted the FY26 outlook implies roughly 6.5% y/y revenue growth in 4Q. Management commentary reflected confidence in the ability to execute in 4Q, supported by a stronger late-stage 4Q pipeline vs. the same period last year. The company expects 3Q subscription to decelerate to roughly 10.5% y/y growth as appliance-attached bundles push into 4Q, taking their attached subscription and support revenue into the quarter as well. CHKP indicated the outlook assumes a win rate in 2H'26 similar to the lower win rate seen in 2Q (rather than improvement), and assumes no benefit from AI Network Firewall business or planned 3Q price increases. We view the more back-half-weighted setup as an incremental layer of risk as we continue to look for signs of improved execution.
- **GTM stabilization and the firewall and support revenue path forward as several headwinds abate.** Management indicated it expects GTM disruption will gradually stabilize, and views 3Q as a trough. The next phase of GTM change is expected to include a hiring campaign of roughly 300 additional go-to-market hires spread globally across generalists and specialists. Management expects the impact of the effort will be seen in 1H27 as the new reps ramp, and the current FY26 outlook does not embed any hiring benefit. Management noted the lower firewall refresh pressures support revenue on the software updates and maintenance line, since roughly 15% of maintenance revenue comes from professional services attached to appliance deployments. The company anticipates that this pressure will persist into 3Q, with the support line stabilizing as firewall demand improves in 4Q and rebounding in 1H27 as product recovers. However, as we noted above, the magnitude of decline for software updates and services is the greatest we've seen in over 10 years, prompting concern that there may be other issues pressuring this revenue. The company also flagged a roughly 1pt subscription headwind from the Wiz partnership that should persist into 1Q next year. Management noted the majority of appliance sales come from existing customers refreshing their install base, and indicated a greater
- focus on new logo acquisition.

Guidance

3Q26 Guidance

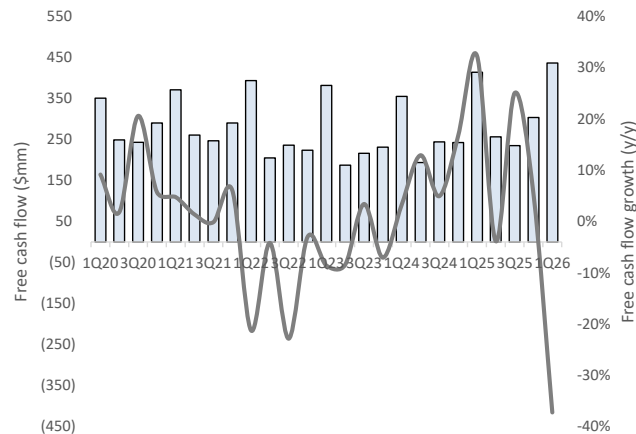
- **Revenue** of \$655-685mm
- **Subscription Revenue** of \$332-343mm
- **Non-GAAP EPS** of \$2.43-2.53
- **Adjusted FCF** of \$235-265mm

FY26 Guidance

- **Revenue** of \$2,770-2,850mm
- **Subscription Revenue** of \$1,345-\$1,385mm
- **Non-GAAP EPS** of \$10.05-10.85
- **Adjusted FCF** of \$1,150-1,250mm

Figure 1: Quarterly FCF (\$mm) vs. y/y Growth

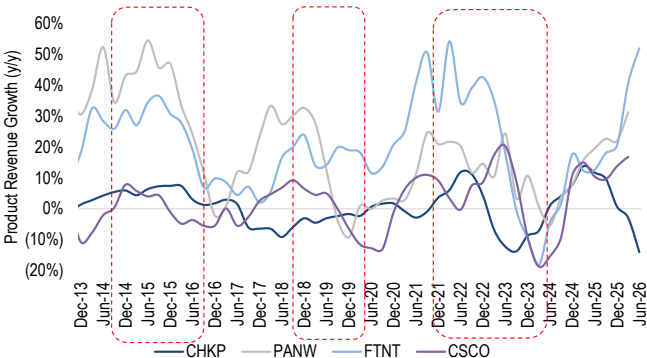
FCF (\$mm) and FCF growth (y/y)



Source: Company reports

Figure 2: Product Revenue Growth vs. Peers

Product Revenue Growth (y/y)



Source: Company reports.

Investment Thesis, Valuation and Risks

Check Point Software *(Neutral; Price Target: \$135.00)*

Investment Thesis

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Valuation

Our Dec 2027 price target of \$135 is derived using a 7x CY27E FCF multiple (CY27 estimate of \$1,306.5mm), which represents a meaningful discount to mid-single digit growth software peers. We think the discount is warranted given the near-term execution risk and weakening competitive position.

Risks to Rating and Price Target

(+) Meaningful Subscription re-acceleration led by emerging products (email, SASE, CTEM), traction with AI Security offerings. (-) Market share loss, elevated competition in emerging markets, lack of customer growth, peer pricing pressure.

Check Point Software: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26A	3Q26E	4Q26E	
Revenue	2,565	2,725	2,819	2,991	3,223	Revenue	668A	674A	681	797	
COGS	(319)	(362)	(379)	(353)	(371)	COGS	(98)A	(100)A	(83)	(99)	
Gross profit	2,279	2,410	2,491	2,673	2,887	Gross profit	585A	588A	609	709	
SG&A	(975)	(1,076)	(1,156)	(1,236)	(1,327)	SG&A	(276)A	(277)A	(288)	(316)	
Adj. EBITDA	1,122	1,139	1,134	1,214	1,318	Adj. EBITDA	271A	267A	268	328	
D&A	(84)	(93)	(78)	(79)	(79)	D&A	(20)A	(19)A	(20)	(20)	
Adj. EBIT	1,098	1,114	1,107	1,186	1,291	Adj. EBIT	265A	260A	261	321	
Net Interest	0	0	0	0	0	Net Interest	0A	0A	0	0	
Adj. PBT	1,194	1,228	1,272	1,358	1,462	Adj. PBT	307A	303A	303	363	
Tax	(126)	112	(153)	(182)	(199)	Tax	(34)A	(33)A	(38)	(47)	
Minority Interest	-	-	-	-	-	Minority Interest	-	-	-	-	
Adj. Net Income	1,039	1,307	1,092	1,147	1,235	Adj. Net Income	265A	263A	257	309	
Reported EPS	7.45	9.63	7.91	8.98	10.20	Reported EPS	1.81A	1.87A	1.89	2.33	
Adj. EPS	9.15	11.90	10.63	11.71	13.28	Adj. EPS	2.50A	2.55A	2.52	3.06	
DPS	-	-	-	-	-	DPS	-	-	-	-	
Payout ratio	-	-	-	-	-	Payout ratio	-	-	-	-	
Shares outstanding	114	110	103	98	93	Shares outstanding	106A	104A	102	101	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	1,372	3,015	2,239	2,233	2,332	Gross margin	88.9%	88.4%	88.4%	89.4%	89.6%
Accounts receivable	729	769	852	905	987	EBITDA margin	43.7%	41.8%	40.2%	40.6%	40.9%
Inventories	0	0	0	0	0	EBIT margin	42.8%	40.9%	39.3%	39.7%	40.0%
Other current assets	822	949	1,043	1,154	1,213	Net profit margin	40.5%	48.0%	38.7%	38.4%	38.3%
Current assets	2,193	3,964	3,282	3,387	3,545	ROE	37.0%	46.1%	39.5%	44.7%	50.2%
PP&E	81	83	84	83	85	ROA	18.2%	19.3%	14.0%	14.6%	15.5%
LT investments	1,412	1,327	1,930	1,942	1,954	ROCE	34.1%	27.3%	20.0%	22.1%	24.6%
Other non current assets	1,572	1,641	2,291	2,296	2,301	SG&A/Sales	38.0%	39.5%	41.0%	41.3%	41.2%
Total assets	5,743	7,806	7,829	7,886	8,000	Net debt/equity	NM	NM	NM	NM	NM
Short term borrowings	0	0	0	0	0	P/E (x)	15.3	11.7	13.1	11.9	10.5
Payables	473	407	398	389	417	P/BV (x)	5.5	5.2	5.4	5.4	5.3
Other short term liabilities	1,471	1,530	1,667	1,787	1,847	EV/EBITDA (x)	10.4	8.9	9.1	8.5	7.7
Current liabilities	1,944	1,937	2,065	2,176	2,264	Dividend Yield	-	-	-	-	-
Long-term debt	0	1,972	1,975	1,975	1,975	Sales/Assets (x)	0.4	0.4	0.4	0.4	0.4
Other long term liabilities	561	2,658	2,713	2,771	2,815	Interest cover (x)	-	-	-	-	-
Total liabilities	2,954	4,924	5,181	5,395	5,575	Operating leverage	27.4%	24.0%	(19.1%)	118.4%	113.2%
Shareholders' equity	2,789	2,882	2,647	2,491	2,424	Revenue y/y Growth	6.2%	6.3%	3.4%	6.1%	7.8%
Minority interests	0	0	0	0	0	EBITDA y/y Growth	1.8%	1.5%	(0.4%)	7.1%	8.6%
Total liabilities & equity	5,743	7,806	7,829	7,886	8,000	Tax rate	12.9%	6.4%	14.2%	15.5%	15.5%
BVPS	25.18	26.87	25.88	25.65	26.30	Adj. Net Income y/y Growth	4.2%	25.8%	(16.4%)	5.1%	7.6%
y/y Growth	4.4%	6.7%	(3.7%)	(0.9%)	2.5%	EPS y/y Growth	8.6%	30.1%	(10.7%)	10.1%	13.4%
Net debt/(cash)	(1,372)	(1,043)	(264)	(258)	(357)	DPS y/y Growth	-	-	-	-	-
Cash flow from operating activities	1,059	1,234	1,242	1,333	1,439						
o/w Depreciation & amortization	24	25	27	28	28						
o/w Changes in working capital	(19)	(97)	87	103	121						
Cash flow from investing activities	(210)	(460)	(125)	(27)	(29)						
o/w Capital expenditure	(24)	(27)	(28)	(27)	(29)						
as % of sales	0.9%	1.0%	1.0%	0.9%	0.9%						
Cash flow from financing activities	(1,060)	752	(1,267)	(1,300)	(1,300)						
o/w Dividends paid	0	0	0	0	0						
o/w Net debt issued/(repaid)	0	1,780	0	0	0						
Net change in cash	(176)	1,558	(173)	7	110						
Adj. Free cash flow to firm	1,035	1,208	1,213	1,306	1,410						
y/y Growth	1.8%	16.7%	0.5%	7.7%	8.0%						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Check Point Software (CHKP, CHKP US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Feb 15, 2001. All share prices are as of market close on the previous business day.

Date	Rating	Price (\$)	Price Target (\$)
11-Dec-23	N	145.72	150
30-Jan-24	N	160.03	160
06-Feb-24	N	160.80	167
18-Jul-24	N	171.58	175
24-Jul-24	N	170.00	180
27-Oct-24	N	207.16	210
29-Oct-24	N	207.96	202
28-Jan-25	N	198.20	207
30-Jan-25	N	203.90	221
26-Feb-25	OW	218.63	255
23-Apr-25	OW	212.31	257
24-Sep-25	OW	201.10	251
30-Jan-26	OW	178.21	230
12-Feb-26	OW	176.47	225
27-Apr-26	OW	134.67	185
30-Apr-26	OW	139.96	135
27-Jul-26	N	130.57	135

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J.P. Morgan Global Equity Research Coverage*	53%	36%	12%
IB clients**	83%	80%	73%
JPMS Equity Research Coverage*	51%	37%	12%
IB clients**	95%	92%	87%

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